

Pricing Simulation — Part 1

Game instructions • Cheyenne Shipping

THE SETUP

- You run CSC, Cheyenne Shipping Corporation. Your competitor is WNS, Western Nebraska Shipping. WNS is automated — the same competitor every round, programmed to act realistically.
- Each round you post a price per container. Your competitor posts one at the same time, and you see theirs only after you have committed to yours.
- The game lasts between 10 and 20 rounds. You will not be told the exact number in advance.
- You play alone and at your own pace. Close the tab whenever you like and pick up where you left off.

EACH ROUND

1. You post a price per container, anywhere from \$900 to \$2,000.
2. Your competitor posts a price at the same time.
3. Market shares follow from the two prices — the cheaper firm wins a larger share of the market.
4. Both profits are worked out and added to a history you can see for the rest of the game.

THE NUMBERS

Market size	190,000 containers
Your base share (CSC)	35% — your share when both firms post the same price
Competitor base share (WNS)	65%
Your cost	\$966 per container
Competitor's cost	\$900 per container
Price range	\$900 to \$2,000, whole dollars

SHARES AND PROFITS

Undercutting your competitor by \$1,000 would move 100 percentage points of share — so every \$10 of price difference moves one point.

Your share	$= 35\% + (\text{competitor's price} - \text{your price}) \div 1,000$, read as percentage points
Your profit	$= 190,000 \times \text{your share} \times (\text{your price} - \$966)$

A worked example. You post \$1,600; your competitor posts \$1,800.

	You (CSC)	Competitor (WNS)
Price posted	\$1,600	\$1,800
Market share	55%	45%
Containers	104,500	85,500
Profit	\$66.25M	\$76.95M

Profit can be negative. Pricing below your \$966 cost wins customers and loses money on every one of them. Your grade depends on taking part, not on the profit you earn.